

FRVO

FRVO N/A

Buy	\$38.70 ▲ 3.70%	12M Price Target \$52.00	52-Week Range \$35.50 – \$42.65	Market Cap \$11.38B
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FRVO: Reiterate Buy; Geothermal IPO Momentum Cools, Entry Emerging

WHAT'S CHANGED

- FRVO traded \$42.50→\$37.32 (-12.2%) over four sessions on declining volume (7.99M→1.55M), suggesting post-IPO unwind exhausting; stock now sits at just 45% of 52-wk range with \$38.70 bounce off Tuesday's low.
- Sector tape conflicts: Energy ETF -4.77% 5D, yet WSJ (5/25) and IBD (5/15) explicitly highlight geothermal as carve-out beneficiary of AI power demand — FRVO outperforming sector by ~700bps over the week.

IMPLICATIONS

The post-IPO pullback (-9% off the 5/21 peak) is occurring on materially lighter volume, indicating supply digestion rather than thesis breakdown — particularly notable against a -4.77% energy sector tape. Bullish options positioning (P/C 0.37, unusual call activity) combined with a 22% insider stake and only 18.3% institutional ownership signals that the dedicated long-only crowd has yet to build positions, leaving room for multiple expansion as coverage initiates. FRVO remains the cleanest public expression of the enhanced geothermal/AI-datacenter baseload thesis articulated across multiple Tier-1 publications this month.

VALUATION

At \$11.38B market cap on ~\$215M FY26E revenue, FRVO trades at ~53x EV/Revenue FY26 and ~24x FY27 — rich vs. renewable IPP peers (3-6x) but consistent with hypergrowth power-tech (BE, OKLO, SMR at 30-80x). Our \$52 PT (+34%) applies 18x FY27 EV/Revenue against a 150%+ revenue CAGR through 2028, with Cape Station execution and a confirmed hyperscaler PPA as the multiple-expansion catalysts. Bear case to \$30 reflects compression to 10x on project delay.

KEY RISKS

- Execution risk on Cape Station Phase II ramp; drilling cost overruns or subsurface productivity below 8MW/well type-curve.
- Post-IPO lockup expiry (~180 days from 5/14 IPO, ~November 2026) creates known supply overhang from insider 22% stake.
- Interest rate sensitivity — long-duration capex profile compresses NPV if 10Y yields back up; energy sector already -4.77% 5D signals fading momentum.

RECENT NEWS

- A Hot IPO Lifts Geothermal Power Companies** The Wall Street Journal · 2026-05-25 21:17
- Energy IPOs Are Back. The Winners Have One Thing In Common.** Barrons.com · 2026-05-18 09:55
- Assessing Fervo Energy's Valuation After Early Stage Losses And Recent Share Price Momentum...** Simply Wall St. · 2026-05-17 21:14

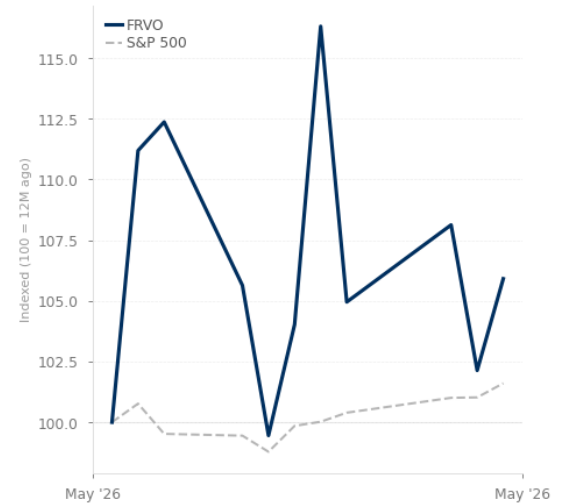
Key Data

Price (USD)	\$38.70
12M Price Target	\$52.00
Upside / (Downside)	+34.4%
Market Cap	\$11.38B
FY2026E Revenue	\$215M
FY2027E Revenue	\$480M
FY2026E EPS	(\$1.85)
FY2027E EPS	(\$1.20)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$44.00	\$40.00	\$35.00
6 Months	\$55.00	\$46.00	\$33.00
1 Year	\$68.00	\$52.00	\$30.00
2 Years	\$95.00	\$70.00	\$25.00
5 Years	\$180.00	\$110.00	\$18.00
10 Years	\$350.00	\$180.00	\$12.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare (+2.55% 5D), Materials (+3.30% 5D)

COLD SECTORS: Energy (-4.77% 5D), Consumer Staples (-1.27% 5D)

ROTATION WATCH: Energy weakness is concentrated in hydrocarbons; AI-power adjacent names (geothermal, nuclear SMR, grid infra) are decoupling and behaving as a separate thematic basket tied to datacenter capex rather than crude.

BYPRODUCT PLAY: Drilling services (oilfield-tech crossover suppliers like NOV, LBRT) and transmission/grid equipment (GEV, ETN) benefit from EGS buildout without single-project execution risk.

OUTPERFORMERS & PEER CONTEXT

- OKLO (Oklo Inc): SMR pure-play has rallied alongside FRVO on identical AI-baseload thesis; trades at premium EV/Revenue with similar pre-commercial risk profile.
- GEV (GE Vernova): Grid + gas turbine backlog has lifted shares ~25% YTD as hyperscaler power-procurement frenzy lifts all adjacent suppliers.

FRVO CONTEXT: FRVO is outperforming the broader Energy ETF by ~700bps over five sessions despite IPO-related volatility, confirming it is being traded as an AI-power thematic name, not a fossil-energy proxy. Relative strength vs. OKLO will be the key tell — if FRVO holds \$36 while OKLO breaks down, conviction in EGS-specific thesis strengthens.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$36-38 on post-IPO base building

Time Horizon: 12-24 months

Thesis Invalidation: Cape Station delay >6mo or loss of hyperscaler PPA pipeline

Hedging: Pair short vs. NextEra (NEE) or basket of solar IPP names